

The FUTURE OF MOBILITY In India

Industry 4.0—enabling innovative processes, digital manufacturing and automation—has the potential to disrupt the industrial value chain and push automotive sector to rethink the way they do business.

Moreover, stringent regulations are evolving so rapidly that the automotive sector might need to rethink about their operational aspects to comply with regulatory and other guidelines



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India is the fourth largest automotive market and the seventh largest automotive manufacturer (Fig. 1), according to India Brand Equity Foundation (IBEF) report, and is expected to emerge as the world's third-largest auto market by 2021, according to IHS Auto Market. In the last seven years, the country has increased annual production of vehicles by one million, resulting in four million vehicles produced last year. However, considering rapid economic development, ongoing urbanisation, a burgeoning consuming class, and supportive regulations and policies, the

five-million milestone is expected to be met within the next five years. The market is even expected to get stronger day-by-day, both with respect to domestic demand and exports backed by the presence of established domestic and international original equipment manufacturers (OEMs).

According to the IBEF report, automobile exports grew 20.78 per cent year-on-year during April-November 2018. It is expected to grow at a CAGR of 3.05 per cent during 2016-2026. The Indian automotive industry (including component manufac-